Note L. Income Taxes

Income tax expense (benefit) on continuing operations consists of the following:

	Year Ended December 31,		
	2019	2018	2017
		(In millions)	
Current	$ 64.7	$ 27.3	$ (28.4)
Deferred	(40.5)	(12.3)	14.2
	$ 24.2	$ 15.0	$ (14.2)

A reconciliation of the federal statutory rate to our effective tax rate is as follows:

	Year Ended December 31,		
	2019	2018	2017
Federal statutory rate	21.0 %	21.0 %	35.0 %
State income taxes, net of federal benefit	(0.2)	3.6	3.1
Tax credits	(2.6)	(22.7)	8.7
Valuation allowance	0.5	—	6.0
Non-deductible expenses and other, net	0.1	0.2	(4.4)
Non-deductible executive compensation	1.8	67.5	—
Dividends received deduction	—	(34.0)	—
Noncontrolling interests	2.6	35.5	(7.7)
Basis difference in investments	(2.8)	—	—
Tax Reform	—	0.4	(13.4)
Other	(1.0)	3.8	(3.8)
Effective tax rate excluding equity investments	19.4 %	75.3 %	23.5 %
Equity investments	(9.2)	(8.9)	(4.4)
Effective tax rate	10.2 %	66.4 %	19.1 %

The Company's effective tax rate at December 31, 2019, 2018, and 2017 is 10.2%, 66.4% and 19.1%, respectively. The decrease from 2019 to 2018 primarily relates to the decreased impact of non-deductible executive compensation on pretax income. The increase in 2018 from 2017 primarily relates to increased non-deductible executive compensation expense which was partially offset by a dividends received deduction. Additionally, the impact of the non-controlling interests, permanent items, and tax credits on pretax income was greater in 2018 than the impact of those same items on pretax earnings and losses in 2019 and 2017, respectively.

The significant components of deferred tax assets and liabilities at December 31, 2019 and 2018 consist of the following:

	December 31,	
	2019	2018
	(In millions)	
Deferred tax assets:		
Employee benefit accruals	$ —	$ 0.2
Net operating loss carryforwards	1.1	0.3
Equity investments	—	8.9
Investment securities	—	2.8
Partnerships	54.1	11.1
Accrued liabilities	—	0.1
Other	0.4	0.6
Total gross deferred tax asset	55.6	24.0
Less: valuation allowance	(1.1)	—
Total deferred tax asset	$ 54.5	$ 24.0
Deferred tax liabilities:		
Depreciation	$ —	$ (0.2)
Total deferred tax liability	$ —	$ (0.2)
Net deferred tax asset	$ 54.5	$ 23.8

The Company's net deferred tax asset was $54.5 million and $23.8 million at December 31, 2019, and 2018, respectively. In conjunction with an internal reorganization of the Company whereby Cannae LLC, formerly a disregarded entity under Cannae Holdings, Inc., became a partnership and now holds all of the Company’s investments, our deferred tax assets are now reflected

primarily as the book to tax difference in the Company's investment in Cannae LLC. The Company, through its direct and indirect interests, holds a 100% ownership percentage of Cannae LLC.

The increase in our net deferred tax asset as of December 31, 2019 from 2018 is primarily related to book losses from the Company’s investments in Blue Ribbon and D&B, as well as the difference between the book and tax basis for the Company's initial investment in Coding Solutions.

The Company’s gross federal and state NOL carryforwards were $19.7 million and $6.3 million at December 31, 2019 and 2018, respectively. The NOLs expire in various tax years through 2040.

ASC 740 requires that companies assess whether a valuation allowance should be established against their deferred tax assets based on the consideration of all of the available evidence using a “more likely than not” standard. A valuation allowance is established for deferred tax assets if, based on the weight of available evidence, it is more likely than not that some portion or all of the deferred tax assets may not be realized. Management evaluated the Company’s deferred tax assets for recoverability using a

consistent approach which considers the relative impact of negative and positive evidence, in particular, the Company’s historical profitability and any projections of future taxable income or potential future tax planning strategies. The Company recorded a valuation allowance of $1.1 million related to state NOLs, as it is more likely than not that the tax benefit of the state NOLs will not be realized before the NOLs expire.

Unrecognized tax benefits are recorded for differences between tax positions the Company takes, or expects to take, on its income tax return compared to the benefit recognized for financial statement purposes. The Company does not have any unrecognized tax benefits as of December 31, 2019, 2018 or 2017.

The Company's federal and state income tax returns for the tax years ended December 31, 2019, 2018 and 2017 remain subject to examination.